APCON

Advertising Practitioners Council Of Nigeria

(Established by Act No. 55 of 1988 CAP A7 LFN 2004)

ADVERTISING INDUSTRY STANDARDS OF PRACTICE

EFFECTIVE FROM 6TH OCTOBER, 2021

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THE ESSENCE OF STANDARDS OF PRACTICE

a. The objective of the Advertising Industry Standards of Practice (AISOP) is to provide minimum standardized commercial terms for advertisement agencies, advertisers, media houses, advertising services providers and stakeholders in matters relating to the business of advertisement, advertising and marketing communications in Nigeria. The framework creates an acceptable and enforceable guideline for business engagement in the advertising and marketing communications sector in Nigeria.

b. The framework will also provide improved stakeholder commitment in ensuring that ethical advertising and marketing communications practice in Nigeria aligns with best practices.

c. The AISOP establishes a dispute resolution mechanism for the purpose of achieving amicable settlement of disputes arising from transactions conducted within the agreement entered into by parties, and in accordance with the AISOP.

d. The AISOP proposes a mutual and binding undertaking which shall improve mutual respect and eradicate unfair advantage, unethical competition and unequitable policies between relevant stakeholders in the advertising and marketing communications industry.

ARTICLE 1

SCOPE OF THE AISOP

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The AISOP shall be binding on all advertisers, advertisement agencies, advertising services providers, media houses, and agent or organization that engage in advertising and/or marketing communications in Nigeria or whose advertising and marketing communications business is exposed to, or directed at the Nigerian market.

ARTICLE 2

BUSINESS TERMS OF ENGAGEMENT

a. Parties involved in an advertisement, advertising and marketing communications must establish a contract. All contracts shall be in writing and duly signed by the parties.

b. Parties to a contract shall agree to promptly, fully and frankly disclose every interest which may constitute a conflict, and except by mutual consent, to refrain from engaging in any activity which creates conflict between them.

c. A party to a contract shall ensure that confidential or proprietary information belonging to the other party is not disclosed to a third party unless consent covering the disclosure is first obtained in writing from the other party. Parties may sign a Non-Disclosure Agreement to protect confidential or proprietary information.

d. All parties shall cooperate and abide by laws governing copyright protection in Nigeria.

e. Upon cancellation of a project, the party cancelling shall pay the other party all direct fees and cost for services performed before the cancellation. The cancelling party shall reimburse the other party all future non-cancelable obligations to third parties made known during the subsistence of the contract. Subject to the

agreement of the parties, any fund held by the other parties which are unearned at the date of cancellation shall be returned to the cancelling party.

Provision for alteration of terms of contract and its procedure should be clearly specified by the parties.

f. Each sectoral group must maintain and share information about:

i. List of members
ii. Defaulting members on issues concerning debts, business ethics and any other violation in terms of contract.

g. The information above should be updated half-yearly and shall be submitted to APCON within seven (7) days of the update. APCON may publish the information from time to time.

ARTICLE 3

PITCHING FOR BUSINESS/ ENGAGEMENT PROTOCOL

PITCHING FOR BUSINESS/ENGAGEMENT PROTOCOL

For pitching and selection of agency for advertising and marketing communications engagement, the following provisions shall be complied with:

a. An Advertiser may invite one or more agencies to pitch for any or all of its advertising and, or marketing communications services provided that agency invited for such pitch shall be entitled to a pitch fee as stipulated in AISOP.

b. Subject to periodic review by APCON, the minimum recommended pitch fee is listed below:

i. Creative and, or Strategy Presentation – one million Naira
ii. Media Strategy – one million Naira
iii. Experiential/Activation Strategy – one million Naira

c. It should be noted that Credentials Presentation is free.

d. No term or condition by a party or all parties in an agreement shall constitute a waiver for pitch fee.

e. No part of a document in a pitch may be used or reproduced by the other party by any means nor modified, decompiled,

disassembled, published or distributed, in whole or in part or translated to any electronic medium or other means without the written consent of the presenting agency.

f. Parties shall recognize the importance of preserving copyright protection and registration thereof of all works relating to advertising materials which constitute or form part of materials used during pitch processes.

ARTICLE 4

PAYMENT TERMS

PAYMENT TERMS

For projects executed in full or part as may be agreed by the parties, the following conditions shall apply;

a. Every payment are encouraged to be made within 30 days; On no account shall payment be later than (45) days from receipt of invoice (including reconciliation) end to end (media owner – agency – advertisers – agency – media owner/other contracted third party).

b. Where parties agree to payment terms for a period less than 45 days, the parties shall remain committed to those terms.

c. Where prepayment is required and agreed upon in a contract, such payment may be made in advance.

d. Where invoice is received and payment is not made within 45 days, interest shall accrue on the sum at the prevailing Central Bank of Nigeria's interest rate.

ARTICLE 5

PAYMENT METHOD

PAYMENT METHOD

a. All payments shall specify the particular invoice being paid. Payment on account must be discouraged to avoid reconciliation challenges.

b. Where payment is received from advertiser by an agency, payments due from agency to media house and/or advertising and marketing communications service providers shall be made within 4 working days.

c. Payment shall be deemed received when the money is earned.

d. Where payment is received and value of the payment not earned within the specified period, it shall be deemed as infraction and the value not earned shall attract interest in prevailing Central Bank of Nigeria's interest rate.

ARTICLE 6

MEDIA RATES/ DISCOUNTS/ COMMISSIONS

MEDIA RATES/DISCOUNTS/COMMISSIONS

The following rules shall apply to media rates, discounts or commissions:

a. Media rates may be increased at any time provided that at least 30 days' notice is given prior to implementation.

b. No party shall unilaterally dictate or impose discount or commission on another party except as may be mutually agreed by the parties.

c. Any discount or commission not mutually agreed upon by the parties at point of contract shall not be demanded at the point of payment.

ARTICLE 7

ADVERTISEMENT AGENCY REMUNERATION MODEL

ADVERTISEMENT AGENCY REMUNERATION MODEL

Remuneration shall be made according to the following guidelines and paid as:

a. Commissions:
   - Creative Agencies - 20% volume
   - Media Agencies - 10% volume
   - Experiential Agencies - 20% volume

b. Fees: As agreed

c. A combination of the above

d. Where an advertiser agreed to a combination of fee and commission, the rate of commission may be mutually agreed by the parties.

ARTICLE 8

PROTOCOL FOR DISENGAGEMENT

PROTOCOL FOR DISENGAGEMENT

In the event of disengagement parties shall ensure that:

a. Disengagement is done in accordance with the terms and conditions stipulated in the contract of engagement.

b. Where a new agency is engaged, the new agency shall obtain clearance to proceed with the project from the disengaged agency within seven (7) days of engagement and clearance shall not be unreasonably withheld by disengaged agency.

c. Where a disengaged agency unreasonably withholds clearance, the new agency shall apply to APCON for clearance.

d. Where it is established that the disengaged agency owes a media house or any third party, the disengaged agency will ensure it obtains clearance from the media house to whom it is indebted within seven (7) days of notification by the disengaging party.

e. The following procedure shall be considered in the event of disengagement:

(i) A tripartite transition committee made up of client, new agency and the disengaged agency shall be set up to reconcile assets, liabilities, finance and handover same to the new agency.

(ii) Parties concerned shall be duly and timely informed (media suppliers, production companies and other service providers etc.) regarding the appointment of the new agency;

(iii) The reconciliation documents must be duly signed by all parties involved in the tripartite transition committee.

ARTICLE 9

CERTIFICATION

CERTIFICATION

For all purposes of engaging the advertising and marketing communications services in Nigeria, only APCON licensed organizations shall be recognized as providing advertisement, advertising and, or marketing communications services under this AISOP.

ARTICLE 10

RETURN ON ADVERTISING INVESTMENT/ MEASUREMENT

RETURN ON ADVERTISING INVESTMENT/ MEASUREMENT

Media monitoring, audit bureau of circulation and audience measurement covering: Broadcast, Out-of-Home, Print and Digital shall comply with respective relevant policies set out by APCON.

a. All sectors must adhere to monitoring and measurement tools as set out by APCON, and this should be reviewed as technology advances.

b. Media monitoring disputes to be resolved within 30 days after execution.

c. Agreed monitoring and measurement tools should be written into the contract.

d. Aggrieved party may make formal complaint to APCON with a view for fair resolution.

ARTICLE 11

RESOLVING BUSINESS DISAGREEMENTS

RESOLVING BUSINESS DISAGREEMENTS

Disagreements should be handled as follows:

a. An aggrieved party should report to the sector in she operates which will ensure resolution within 30 days of the receipt of complaint.

b. If the matter is unresolved by the sector after 30days it should be reported to HASG which will ensure that the matter is resolved within another 30days.

c. If matter remains unresolved at HASG level after the 30days it should be presented to APCON.

ARTICLE 12

ALTERNATIVE DISPUTE RESOLUTION

ALTERNATIVE DISPUTE RESOLUTION

a. Without prejudice to the rights of parties to go to Court if they do not ab initio assent to an industry arbitration under the support of the Council, where a dispute arises in relation to the provisions or operation of this AISOP, such disputes may be referred to a Panel set up by the Council for arbitration.

b. The Panel set up by the Council for arbitration shall be known as the "Advertising Arbitration Panel" and the Panel shall make such rules of procedure which shall be applicable for the arbitral proceedings.

c. In the event of any dispute between parties, the aggrieved party or complainant shall issue a letter of notification to the other party, formally notifying the party of the dispute.

d. In the event of failure to reach amicable settlement within 30 days of the date of the letter of notification, such dispute may be submitted to Arbitration before the Advertising Arbitration Panel.

e. The Arbitration Panel shall be responsible for effecting prompt settlement of any dispute arising between parties.

f. The ruling of the Arbitration Panel, where parties have submitted to its jurisdiction, shall be binding on the parties.

g. The provisions of the Arbitration and Conciliation Act CAP. A18, LFN 2004 or any amendment thereof shall be applied by the Arbitration Panel in determination of disputes brought pursuant to the AISOP.

ARTICLE 13

INTERPRETATION

INTERPRETATION

In this AISOP unless the context otherwise requires:

"Advertisement": A notice, announcement, exposure, publication, broadcast, statement, announcorial, informercial, hype, display, town cry, show, event, logo, payoff, trademark etc to promote, advocate, solicit, showcase, endorse, vote, support, etc a product, service, cause, idea, person, organization, etc with the intention to influence, sway, actuate, impress, arouse, patronize, entice, attract etc people by an identified sponsor irrespective of media, medium, platform, etc.

"Advertisement Agency": Any agent, agency, organization etc that engages in full advertising service, creative advertising, media buying, media planning, media brokerage, experiential marketing, activation, out of home advertising, brand consulting, brand management, digital advertising or any other advertising, marketing communications service relating to the above.

"Advertiser": A person, private or public organization, etc that causes, requests, directs, or pays for an advertisement, advertising, marketing communications ideas etc to be created, developed, produced, executed, expose or that takes benefit of advertisement, advertising, and marketing communication services.

"Advertising": any act, action, activity, construct, undertaking, etc directly, or indirectly, intentionally, or unintentionally, aimed at creating, planning, strategizing, managing, developing, producing, propagating, servicing, facilitating, etc an advertisement, brand, marketing communications ideas etc.

"Advertising Service Provider" means a model, modelling agency, voice over artist, production company, decoration company, talent providers, artist, musician, consultants, or any organization or person who plays a role in the development, creation, or production of an advertisement not being an advertisement agency, media organization and advertiser.

"Advertising Practitioner": A person registered by APCON to practice advertisement, advertising and marketing communications in Nigeria.

"APCON-Licensed Organization": An organization registered and licensed by APCON to practice within a sector in the advertising industry.

"Marketing Communications": any act, gesture, endeavours, execution, performance tactics, efforts, etc aimed at sharing promotional information, evoke emotion, create awareness, encourage demand, etc for a product, service, cause, idea, person,

organization etc through the use of public media, mass media, or any medium capable of disseminating information to the public directly, or indirectly, intentionally, or unintentionally.

"Media": Any medium, channel, platform that disseminate, circulate, expose, broadcast, publish, display or make public an advertisement.

"Media Owner": Any person, entity that owns a media.

"Minister" means the Minister whose ministry supervises the responsibilities of the Council.

"Practice" means any act, conduct, ideation, design, conceptualization etc that leads to the development, creation, co-creation, production, delivery etc of an advertisement.

For further inquiries visit: www.apcon.gov.ng

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Welcomes you to her

PUBLIC PRESENTATION OF THE

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STANDARD OF PRACTICE

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EVENT FLOW

1. Opening
2. Introduction
3. Opening Remark - **Mr. Funmi Onabolu, frpa** (Chairman AISOP)
4. Presentation of the AISOP - **Dr. Olalekan Fadolapo** (Registrar/CE, APCON)
5. Interactive Session
6. Remark by HASG Chairman - **Mr. Femi Adelusi**
7. Closing